Portion control is an essential element of food cost and quality control. It reduces food waste, ensures a consistent and quality product, expedites food preparation and service, and has a big impact on food cost.

2.4 Food Costing

The foremost objective of any food service establishment is to provide quality food and to be profitable at the same time. Food costs play a vital role in determining the profitability of the establishment. The chefs and managers of the establishment are responsible to control food costs to ensure profit.

Food cost may be defined as the cost of material used in producing the food sold. The main objectives of food costing are:

- To analyse income and expenditure
- To ascertain the price
- To ascertain the food cost of particular item on the menu.
- To ascertain the total expenditure on food over a period of time.
- To control cost, price, profit margins and provide information for formulating an effective pricing policy.
- To disclose faulty purchasing and inefficient storing
- To prevent pilferage and wastage.
- To ensure customer satisfactions.
- To bring cost-consciousness among the employees.
- To reduce cost and improve quality.
- To provide cost estimates to manager for developing budgets.
- To assist manager in making control decision and
- To evaluate pricing and establish future pricing.

2.4.1 Calculation of Food Cost

The formula to calculate food cost is

1. **Food Cost = Opening inventory + Purchases — Closing inventory**

DO YOU KNOW?

Inventory or stock is the goods and materials that a business holds for the ultimate goal of resale (or repair). An inventory is everything that is found within a food service establishment. Dry stores, pots and pans, uniforms, liquor, linens, or anything that costs money to the business should be counted as part of inventory.

The value of the inventory can be obtained from monthly stock takings.

2. **Food Cost Percent = Food cost/ Food sale**

A profitable establishment typically has a 20-30 percent food cost percentage. The food costs in any catering establishment may vary between 40-60 percent of total sales.

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